

25% of patterns failed to see price drop more than 10%.

You can see how the failure rate rises for small changes in the maximum price rise or decline.

This table is quite useful as a tool to check expectations. If you trade a scallop and hope for a large decline, say 50%, less than 5% will make that kind of a drop after a downward breakout (95% to 99% will fail to drop more than 50%).

[**Table 60.4**](#) shows breakout-related statistics.

Breakout direction. As I mentioned, most of the breakouts from scallops are downward. A breakout occurs when price closes below the bottom of the scallop. An upward breakout sees price close above the top of the scallop, and because the pattern is so tall, that's rare. Also, price ends the pattern near the bottom anyway, making a downward breakout more likely.

[**Table 60.3**](#) Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
5 (breakeven)	75 or 16%	185 or 17%	43 or 10%
10	50 or 26%	245 or 38%	68 or 25%
15	43 or 35%	210 or 57%	63 or 38%
20	30 or 42%	152 or 71%	66 or 53%
25	30 or 48%	112 or 81%	48 or 64%
30	27 or 53%	92 or 89%	43 or 73%
35	26 or 59%	49 or 93%	30 or 80%
50	48 or 69%	58 or 99%	68 or 95%
75	54 or 80%	15 or 100%	20 or 99%
Over 75	94 or 100%	0 or 100%	3 or 100%